COVER SHEET

SEC Registration Number

2022030044636-59

Company Name

PREMIERE ISLAND POWER REIT CORPORATION

Principal Office (No./Street/Barangay/City/Town)Province)

4TH FLOOR STARMALL IT HUB CV STARR PHILAMLIFE PAMPLONA DOS LAS PINAS CITY 1747

COMPANY INFORMATION

Company's Email Address	Company's Telephone Number	Company's Facsimile Number
IR@preit.com.ph	(02)8734-5732/ (02)8775-8072	N/A

Month Day of Fiscal Year	Month Day of Annual Meeting
December 31	3rd Monday of June

CONTACT PERSON INFORMATION

Name of Contract Person	Email Address	Mobile Number	Facsimile Number
Caren Kay B. Adolfo	carenkay_adolfo@lptcentral.com	09998864216	

FORM TYPE	Department requiring report	Secondary License Type, if applicable
17 - Q		

- -

To be accomplished by SEC personnel

File No. ______________________ ______________________ LCU

Document ______________________ I.D. ______________________ CASHIER

Remarks:
Please use BLACK ink for scanning purposes

STAMPS

PSE Number: ________
SEC Number: 2022030044636-59
File Number: ________

Premiere Island Power REIT Corporation

(Company's Full Name)

4th Floor Starmall IT Hub, CV Starr, Philamlife, Pamplona Dos, Las Piñas City 1747

(Company Address)

+63(2) 8734 5732 / +63(2) 8775 8072

(Telephone Number)

December 31

(Fiscal Year Ending)

30 September 2025

Period Ended Date

Quarterly Report - SEC Form 17-Q

(Form Type)

N/A

(Amendments – if applicable

SECURITIES AND EXCHANGE COMMISSION

SEC FORM 17-Q
QUARTERLY REPORT PURSUANT TO SECTION 17
OF THE SECURITIES REGULATION CODE
AND SRC RULE 17(2)(b) THEREUNDER

1. **30 September 2025**
   Date of Report (Date of earliest event reported)

2. SEC Identification Number **2022030044636-59**

3. BIR Tax Identification No. **607-224-091-00000**

4. **PREMIERE ISLAND POWER REIT CORPORATION**
   Exact name of issuer as specified in its charter

5. **PHILIPPINES**
   Province, country or other jurisdiction of incorporation

6. (SEC Use Only)
   Industry Classification Code:

7. **4th Floor Starmall IT Hub, CV Starr, Philamlife, Pamplona Dos, Las Piñas City**
   Address of principal office

   1747
   Postal Code

8. **+63(2) 8734 5732 / +63(2) 8775 8072**
   Issuer's telephone number, including area code

9. **N/A**
   Former name or former address, if changed since last report

10. Securities registered pursuant to Sections 8 and 12 of the SRC or Sections 4 and 8 of the RSA

Title of Each Class	Number of Shares of Common Stock Outstanding and Amount of Debt Outstanding
COMMON STOCK	**3,288,669,000**

11. Are any or all these securities listed on a stock exchange?
    [a]**Yes** [ ] **No**

    Stock Exchange: **Philippine Stock Exchange**
    Securities listed: **Common shares**

12. Indicate by check mark whether the registrant:
    (a) has filed all reports required to be filed by Section 17 of the Code and SRC Rule 17 thereunder or Sections 11 of the RSA and RSA Rule 11(a)-1 thereunder, and Sections 26 and 141 of the Corporation Code of the Philippines, during the preceding 12 months (or for such shorter period that the registrant was required to file such reports):
    [a]**Yes** [ ] **No**

    (b) has been subject to such filing requirements for the past 90 days:
    [a]**Yes** [ ] **No**

PART I –FINANCIAL INFORMATION

Item 1. Interim Financial Statements

The Interim Financial Statements of Premiere Island Power REIT Corporation ("PREIT" or the "Company") as of and for the nine months ended 30 September 2025 with comparative figures for the period ended 30 September 2024 and as of 31 December 2024.

Item 2. Management's Discussion and Analysis of Financial Condition and Results of Operations

A. Results of Operations (Financial Performance)

Review of results of operations for the nine (9) months ended 30 September 2025 as compared with the results for the nine (9) months ended 30 September 2024.

Revenue decreased from P456.6 million to P431.9 million

Revenue for the period amounted to P431.9 million and pertains solely to income from the lease of properties to the lessees who operate power plants on such leased properties. The amount of revenue recognized was in accordance with the relevant Philippine Financial Reporting Standards (PFRS). Under PFRS 16, the rental income includes the effect of straight-line basis of accounting over the lease term. The effect of straight-line basis of accounting amounted to P20.6 million for the period ended 30 September 2025. The decrease in revenue is due to the suspension of rentals with SIPCOR during its inoperability. No additional lease agreements were entered into during the period.

Cost of Rentals increased from P62.6 million to P68.1 million

Cost of rentals amounted to P68.1 million, or equivalent to 15.76% of rental income, and consisted of depreciation of generation assets, fund and property management fees, and various fees and taxes. The increase of P5.5 million is mainly attributed to the increase in depreciation and management fees.

Operating expenses increased from P2.7 million to P4.9 million

Operating expenses amounted to P4.9 million for the period, which is P2.2 million higher than the same period last year. The increase is mainly due to higher professional, administrative, and miscellaneous expenses for the period.

Other Income (Charges) – Improvement from P(0.305) million to P(0.286) million

Other Income (Charges) principally represents amortization of interest expense over the lease terms.

Other Comprehensive Income decreased from P(3.128) million to P(3.176) million

Other comprehensive income decreased due to the increase in the after-tax piecemeal realization of the revaluation surplus recognized from the appraisal of generator set for the year ended 31 December 2024.

Total Comprehensive Income

The result of operating and non-operating activities resulted in a total comprehensive income of P350 million.

B. Financial Position as of 30 September 2025 as compared with financial position as of 31 December 2024

Assets

Cash increased from P0.892 million to P2.6 million
The net increase in cash balance is due to higher collections.

Trade and other receivables decreased from P889.5 million to P635.8 million
The decrease in trade and other receivables is due to higher collections of rentals compared to billings during the quarter.

Prepayments and other current assets increased from P55.0 million to P62.5 million
The increase mainly pertains to the recognition of creditable withholding tax from collections made. These will be utilized against any future income tax payable.

Net property and equipment decreased from P961.5 million to P913.7 million
Movement to property and equipment pertains to depreciation for the period.

Investment properties remained the same
The Company's investment properties comprise of land (including land subject to right-of-use assets) and buildings leased to power plant operators. There were no movements during the quarter, as there were no acquisitions nor disposals, and property appraisals are conducted at year-end.

Liabilities

Trade and other payables increased from P138.7 million to P153.9 million
The increase in trade and other payables is due to higher deferred output VAT and VAT payable.

Due to related parties decreased from P322.7 million to P55.1 million
Due to related parties is composed of cash advances from its parent company and a related party under common ownership for accommodation of certain expenses, working capital requirements, and other purposes. The decrease is primarily due to the settlement of advances from affiliates.

Lease liability (including the non-current portion) decreased from P5.8 million to P5.5 million
Movements to the account were due to repayments and amortization during the quarter.

Equity

Equity decreased from P9,241.3 million to P9,196.5 million
Equity decreased as the company declared dividends of P398.3 million and recognized a total net income of P353.5 million for the quarter.

Indebtedness

As of 30 September 2025, there are no material commitments for capital expenditures. PREIT has no indebtedness with any bank.

The Company is not aware of any events that will trigger direct or contingent financial obligations that are material to it, including any default or acceleration of an obligation.

Key Financial Ratios

PREIT's key financial ratios for the nine months ended 30 September 2025 and 2024 are as follows:

Key Ratio	Formula	30 September 2025	30 September 2024
Earnings Per Share*	Net Profit/Common Shares Outstanding	0.11	0.12
Current Ratio	Current Assets/Current Liabilities	3.35	1.74
Debt to Equity	Total Liabilities/Total Shareholders' Equity	0.04	0.06
Return on Assets	Net Profit/Total Assets	0.04	0.04
Return on Equity	Net Profit/ Total Shareholders' Equity	0.04	0.04

The key ratios provide the directors and management with indicators of the Company's liquidity (Current Ratio), financial strength (Debt-to-Equity Ratio), and profitability (Earnings per Share, Return on Assets, and Return on Equity). For the period ended September 2025, the current ratio improved as a result of higher collections and lower accounts receivable. Furthermore, the debt-to-equity ratio improved following the decrease in trade payables and amounts due to related parties.

PART II–OTHER INFORMATION

Item 3. Business Development

As of 30 September 2025, the property portfolio of the Company consists of land and power plant assets utilized in the power generation projects of the Sponsors.

The properties used in the operation of the 12.8 Megawatt (MW) heavy fuel oil (HFO)-fired power plants of SIPCOR located in Candanay Sur and Lazi, Siquijor (**SIPCOR Power Plants**) consist of (a) power plant assets, such as HFO diesel generator sets and perimeter fence; (b) buildings housing various physical structures, such as an administrative office, control room, warehouse, guard house, staff house, material recovery facility, work shop, firefighting shed, fuel tank farm, and fuel pump station; and (c) parcels of land (including the 3,000 sq.m. parcel of land located in Lazi, Siquijor, which is owned by the Company, and leasehold rights to a 9,478 sq.m. parcel of land located in Candanay Sur, Siquijor) where the SIPCOR Power Plants are located (collectively, the **SIPCOR Properties**). The GLA of each property is summarized in the following table.

SIPCOR Properties	GLA
Land – Candanay, Siquijor	9,478 sq.m.
Land – Lazi, Siquijor	3,000 sq.m
Building - Candanay, Siquijor	353.2 sq.m.
Powerplant Assets – Candanay Siquijor	607 sq.m

The properties used in the operation of the 8.4 MW power plants of CAMPCOR, located in Poro and Pilar, Camotes Island, Cebu (**CAMPCOR Power Plants**), consist of (a) buildings or powerhouse stations that house physical structures such as water treatment units, staff house, radiator units, fire pump house, guard house, oil-water separator, material recovery facility, reverse osmosis house, transformer house, warehouse, and administrative office; and (b) 16,406.5 sq.m. parcels of land owned by the Company where such buildings are located (collectively, the **CAMPCOR Properties**, and together with the SIPCOR Properties, the **Properties**). The GLA of each property is summarized in the following table.

CAMPCOR Properties	GLA
Land - Camotes, Cebu	8,468 sq.m.
Land – Pilar, Cebu	7,938.5 sq.m.
Building – Camotes, Cebu	577.3 sq.m.
Building – Pilar, Cebu	244 sq.m

As of 30 September 2025, all Properties remain fully leased to the Sponsors and maintain a 100% occupancy rate, reflecting continued engagement with the REIT's tenants. Among these, the CAMPCOR Power Plant remains operational, while the SIPCOR Power Plants are currently non-operational following the revocation of their provisional authority to operate. Nevertheless, SIPCOR continues to maintain the leased assets in good condition.

PREIT continuously seeks opportunities to acquire properties in prime locations through purchase or other means, to increase its leasable assets.

SIGNATURES

Pursuant to the requirements of the Securities Regulation Code, the issuer has duly caused this report to be signed on its behalf by the undersigned hereunto duly authorized.

PREMIERE ISLAND POWER REIT CORPORATION Issuer	**14 November 2025** Date
Timothy Joseph M. Mendoza President	**Cecille Marie H. Bernardo** Treasurer and Chief Finance Officer
Caren Kay B. Adolfo Corporate Secretary	

Premiere Island
POWER REIT CORPORATION

STATEMENT OF MANAGEMENT'S RESPONSIBILITY
FOR FINANCIAL STATEMENTS

The management of Premiere Island Power REIT Corporation is responsible for the preparation and fair presentation of the financial statements, including the schedules attached therein, as of and for the periods ended 30 September 2025, 30 September 2024, and 31 December 2024, in accordance with the prescribed financial reporting framework indicated therein, and for such internal control as management determines necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations or has no realistic alternative to do so.

The Board of Directors is responsible for overseeing the Company's financial reporting process.

The Board of Directors reviews and approves the financial statements, including the schedules attached therein, and submits the same to the stockholders.

Punongbayan & Araullo, the independent auditors appointed by the stockholders, have audited the Company's financial statements as of 31 December 2023 and 2024 in accordance with Philippine Standards on Auditing, and in their report to the stockholders, have expressed their opinion on the fairness of presentation upon completion of such audit. The financial statements as of and for the periods ended 30 September 2025 and 30 September 2024 were not audited as allowed under the applicable rules of the Securities and Exchange Commission and the Philippines Stock Exchange.

Cynthia J. Javarez
Chairman

Timothy Joseph M. Mendoza
President

Cecille Marie H. Bernardo
Treasurer

Signed this 14th day of November 2025

SUBSCRIBED AND SWORN to before me this 14 NOV 2025 in Taguig City, Metro Manila, affiant exhibiting to me his/her valid ID, as follows

Name	Competent Evidence of Identity	Date & Place of Issue
Cynthia J. Javarez	Passport : P3138029B	Sept 10, 2019 / DFA Manila
Timothy Joseph M. Mendoza	Passport : P2015271C	Oct 13, 2022 / DFA Manila
Cecille Marie H. Bernardo	Passport : P5633097A	Jan 16, 2018 / DFA Manila

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Book No. II
Series 2025

MARY GRECELLE G. ADARME-ROVERO
Notary Public for the City of Taguig
Comm. No. 100(2025-2026)/Valid until 12-31-2026
1482 B Elephant St., Maysanang Area, Ususan, Taguig City
Roll No. 700983 IBP Receipt No. 501347; 01-09-2025/Aklan Chapter
PTR No. A-6446355; 01-09-2025; Taguig City
MCLE Compliance No. VIII-0029865; Valid until 14 April 2028

PREMIERE ISLAND POWER REIT CORPORATION

(Formerly Premiere Island Philippines Holding Corporation)

(A Subsidiary of S.I. P0wer Corp.)

STATEMENTS OF FINANCIAL POSITION

AS OF 30 SEPTEMBER 2025, 31 DECEMBER 2024 AND 30 SEPTEMBER 2024

(Amounts in Philippine Pesos)

ASSETS	Notes	30 September 2025 (Unaudited)	31 December 2024 (Audited)	30 September 2024 (Unaudited)
CURRENT ASSETS				
Cash	4	P 2,569,867	P 891,662	P 1,855,721
Trade And Other Receivables	5	635,789,089	889,500,954	801,939,583
Prepayments And Other Current Assets		62,515,322	55,012,509	54,258,239
Total Current Assets		P 700,874,278	P 945,405,125	P 858,053,544
NON-CURRENT ASSETS				
Property And Equipment – Net	6	913,709,613	961,520,000	890,903,212
Investment Properties	7	7,914,420,000	7,914,420,000	7,827,908,486
Intangible assets		—	—	536,200
Total Non-Current Assets		P 8,828,129,613	P 8,875,940,000	P 8,719,347,899
TOTAL ASSETS		P 9,529,003,891	P 9,821,345,125	P 9,577,401,442
LIABILITIES AND EQUITY				
CURRENT LIABILITIES				
Trade And Other Payables	8	P 153,851,156	P 138,665,894	P 127,936,777
Due To Related Parties	13	55,078,374	322,655,398	365,812,987
Lease Liabilities	9	493,793	408,491	461,657
Total Current Liabilities		P 209,423,323	P 461,729,783	P 494,211,421
NON-CURRENT LIABILITY				
Lease Liabilities	9	P 5,001,877	P 5,411,452	P 5,189,565
Deferred tax liabilities – net	12	118,045,055	112,895,217	67,239,727
Total Non-Current Liabilities		P 123,046,932	P 118,306,669	P 72,429,291
Total Liabilities		P 332,470,255	P 580,036,452	P 566,640,712
EQUITY				
Capital Stock	14	P 3,288,669,000	P 3,288,669,000	P 3,288,669,000
Additional Paid-In-Capital	14	5,328,952,851	5,328,952,851	5,328,952,851
Revaluation Reserves – Net	6	134,761,482	137,936,681	75,890,427
Retained Earnings	14	444,150,304	485,750,141	317,248,452
Total Equity		P 9,196,533,637	P 9,241,308,673	P 9,010,760,730
TOTAL LIABILITIES AND EQUITY		P 9,529,003,891	P 9,821,345,125	P 9,577,401,442

PREMIERE ISLAND POWER REIT CORPORATION

(Formerly Premiere Island Philippines Holding Corporation)

(A Subsidiary of S.I. P0wer Corp.)

STATEMENTS OF COMPREHENSIVE INCOME

FOR THE PERIODS ENDED 30 SEPTEMBER 2025 AND 30 SEPTEMBER 2024

(Amounts in Philippine Pesos)

(Unaudited)

		Year-To-Date (9 Months)		Quarter Ended (3 Months)	
	Notes	01 January to 30 September 2025	01 January to 30 September 2024	01 July to 30 September 2025	01 July to 30 September 2024
RENTAL INCOME	10	P 431,852,706	P 456,636,080	P 127,428,653	P 152,212,027
COSTS OF RENTALS	11	68,069,301	62,635,604	22,689,767	20,878,534
GROSS PROFIT		P 363,783,405	P 394,000,476	P 104,738,886	P 131,333,493
OTHER OPERATING EXPENSES	11	4,865,104	2,721,138	1,704,449	1,216,331
OPERATING PROFIT (LOSS)		P 358,918,301	P 391,279,338	P 103,034,436	P 130,117,162
OTHER INCOME (CHARGES) - Net					
Finance cost	9	(285,927)	(308,664)	(95,309)	(102,888)
Finance income	4	304	4,031	185	2,148
		P (285,624)	P (304,633)	P (95,124)	P (100,740)
PROFIT (LOSS) BEFORE TAX		P 358,632,678	P 390,974,706	P 102,939,312	P 130,016,422
TAX INCOME (EXPENSE)	12	(5,149,898)	(8,535,521)	(1,572,551)	(2,845,334)
NET PROFIT		P 353,482,779	P 382,439,185	P 101,366,761	P 127,171,088
OTHER COMPREHENSIVE INCOME					
Piecemeal realization of revaluation surplus		P (4,233,599)	P (4,170,837)	P (1,411,200)	P (1,390,279)
Tax income		1,058,400	1,042,709	352,800	347,570
		P (3,175,199)	P (3,128,127)	P (1,058,400)	P (1,042,709)
TOTAL COMPREHENSIVE INCOME		P 350,307,580	P 379,311,058	P 100,308,361	P 126,128,379
BASIC AND DILUTED EARNINGS PER SHARE		P 0.11	P 0.12	P 0.03	P 0.04

PREMIERE ISLAND POWER REIT CORPORATION
(Formerly Premiere Island Philippines Holding Corporation)
(A Subsidiary of S.I. P0wer Corp.)
STATEMENTS OF CHANGES IN EQUITY
FOR THE PERIODS ENDED 30 SEPTEMBER 2025 AND 30 SEPTEMBER 2024
(Amounts in Philippine Pesos)

	Capital Stock (See Note 14)	Additional Paid-in Capital (See Note 14)	Revaluation Reserve (See Note 6)	Retained Earnings (See Note 14)	Total
Balance on January 1, 2024	P 3,288,669,000	P 5,328,952,851	P 79,018,554	P 401,303,076	P 9,097,943,481
Dividends declared	—	—	—	(469,621,937)	(469,621,937)
Transfer depreciation to retained earnings	—	—	(3,128,127)	3,128,127	—
Total net income for the period	—	—	—	382,439,185	382,439,185
Balance on September 30, 2024 (Unaudited)	**P 3,288,669,000**	**P 5,328,952,851**	**P 75,890,427**	**P 317,248,452**	**P 9,010,760,730**
Balance on January 1, 2025	P 3,288,669,000	P 5,328,952,851	P 137,936,681	P 485,750,141	P 9,241,308,673
Dividends declared	—	—	—	(398,257,815)	(398,257,815)
Transfer depreciation to retained earnings	—	—	(3,175,199)	3,175,199	—
Total net income for the period	—	—	—	353,482,779	353,482,779
Balance on September 30, 2025 (Unaudited)	**P 3,288,669,000**	**P 5,328,952,851**	**P 134,761,482**	**P 444,150,304**	**P 9,196,533,637**

PREMIERE ISLAND POWER REIT CORPORATION
(Formerly Premiere Island Philippines Holding Corporation)
(A Subsidiary of S.I. P0wer Corp.)
STATEMENTS OF CASH FLOWS
FOR THE PERIODS ENDED 30 SEPTEMBER 2025 AND 30 SEPTEMBER 2024
(Amounts in Philippine Pesos)

	September 30, 2025	September 30, 2024
CASH FLOWS FROM OPERATING ACTIVITIES		
Profit before tax	**P 358,632,678**	**P 390,974,706**
Adjustments for:		
Depreciation	47,810,387	43,576,786
Finance cost - net	285,927	308,664
Finance income	(304)	(4,031))
Operating profit (loss) before working capital changes	406,728,688	434,856,125
Decrease in trade and other receivables	253,711,865	249,385,475
Increase in prepayments and other current assets	(7,502,813)	(11,299,187)
Increase (Decrease) in trade and other payables	52,257,262	(64,465,181)
Cash generated from operations	705,195,001	608,477,232
Income taxes	(61)	((806)
Interest received	304	4,031
Net Cash from Operating Activities	**705,195,244**	**608,480,456**
CASH FLOWS FROM INVESTING ACTIVITIES		
Increase in investment properties	—	(43,418,486)
Increase in other non-current assets	—	(536,200)
Net Cash Used in Investing Activities	—	(43,954,686)
CASH FLOWS FROM FINANCING ACTIVITIES		
Payment of dividends	(398,257,815)	(469,621,937)
Repayment of advances from related parties	(304,649,024)	(144,078,658)
Repayment of lease liability	(324,273)	(550,629)
Interest paid	(285,927)	(308,664)
Net Cash From (Used in) Financing Activities	**(703,517,039)**	**(614,559,887)**
NET INCREASE IN CASH	**1,678,205**	**(50,034,117)**
CASH AT BEGINNING OF PERIOD	891,662	51,889,838
CASH AT END OF PERIOD	**P 2,569,867**	**P 1,855,721**

PREMIERE ISLAND POWER REIT CORPORATION
(Formerly Premiere Island Philippines Holding Corporation)
(A Subsidiary of S.I. P0wer Corp.)
NOTES TO FINANCIAL STATEMENTS
SEPTEMBER 30, 2025, SEPTEMBER 30, 2024, and DECEMBER 31, 2024
(Amounts in Philippine Pesos)

1. GENERAL INFORMATION

1.1 Corporate Information

Premiere Island Power REIT Corporation (the REIT) was incorporated under Philippine laws on March 4, 2022 under the name Premiere Island Philippines Holding Corporation (PIPHC). Under its articles of incorporation, PIPHC is authorized to invest in, purchase, or otherwise acquire and own, sell, assign, transfer, mortgage, pledge, exchange, or otherwise dispose of real property and personal property of every kind and description. Since its incorporation on March 4, 2022, PIPHC did not have any business operations until the Sponsors infused assets through a property-for-share swap (see Note 14).

On September 24, 2022, the BOD approved the following amendments to the Articles of Incorporation and By-Laws: (a) changing the corporate name to Premiere Island Power REIT Corporation; (b) changing the REIT's primary purpose to engage in the business of a real estate investment trust as provided under Republic Act (R.A.) No. 9856, The Real Estate Investment Trust Act of 2009 (the "REIT Act"), including its implementing rules and regulations, and other applicable laws; (c) increasing the number of the Board of Directors (BOD) from five to seven; (d) denying the stockholders' pre-emptive rights; (e) amendments on the PSE lock-up requirement; (f) corporate governance provisions for REITs and publicly listed companies; (g) qualifications of directors; (h) corporate governance revisions for independent directors; (i) changes on compensation clause; (j) constitute board committees including Executive Committee; Compensation and Remuneration Committee, Audit Committee, Related Party Transaction committee; (k) appointment of stock transfer agent; (l) schedule of regular annual meetings; (m) amendments on dividends; (n) the Fund Manager; and (o) the Property Manager. The Securities and Exchange Commission approved the amendments on November 9, 2022.

The REIT listed its common shares in the Philippine Stock Exchange (PSE) as a power REIT on December 15, 2022 (see Note 14). As of September 30, 2025 and December 31, 2024, the REIT has 48.88% public ownership.

S.I. P0wer Corp. (SIPCOR or the Parent Company) holds 25.71% interest over the REIT while Camotes Island Power Generation Corporation (CAMPCOR) holds 25.39% ownership over the REIT. SIPCOR also holds 94.00% ownership interest over CAMPCOR. Accordingly, SIPCOR effectively holds 49.58% ownership of the REIT's total issued and outstanding capital stock, thereby making SIPCOR as the majority stockholder and the REIT's parent company. SIPCOR and CAMPCOR are both presently engaged in buying, acquiring, leasing, constructing, maintaining, and operating plants, work, systems, poles, poles wire, conduit, ducts and subway for the production, supply, distribution and sale of electricity. Prime Asset Ventures, Inc. (PAVI or the Ultimate Parent) is the REIT's ultimate parent company. PAVI is presently engaged primarily to invest in, purchase or otherwise acquire and own, hold, use, sell, assign, transfer, lease, mortgage, pledge, exchange, develop or otherwise, dispose of real and personal property of every kind, and to grant loans and/or assume or undertake or guarantee or secure either on its general credit or on the mortgage, pledge, deed of trust, assignment and/or other security arrangement of any or all of its property, its related parties or any third party, without engaging in the business of a financing company or lending investor.

The REIT's registered office address and principal place of business is located at 4th Starmall IT Hub CV Starr Ave., Philamlife Pamplona Dos Las Piñas, Las Piñas City. In addition, SIPCOR and PAVI's registered office, which is also their principal place of business, is located at 3rd Floor Starmall IT Hub, CV Starr Ave., Philamlife Village, Las Piñas City.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The significant accounting policies that have been used in the preparation of these financial statements are summarized below and in the succeeding pages. These policies have been consistently applied to the periods presented unless otherwise stated.

2.1 Basis of Preparation of Financial Statements

(a) Statement of Compliance with Philippine Financial Reporting Standards

The financial statements of the REIT have been prepared in accordance with Philippine Financial Reporting Standards (PFRS). PFRS are adopted by the Financial Reporting Standards Council (FRSC) from the pronouncements issued by the International Accounting Standards Board (IASB) and approved by the Philippine Board of Accountancy.

The financial statements have been prepared using the measurement bases specified by PFRS for each type of asset, liability, income and expense. The measurement bases are more fully described in the accounting policies that follow.

(b) Presentation of Financial Statements

The financial statements are presented in accordance with Philippine Accounting Standard (PAS) 1, *Presentation of Financial Statements*. The REIT presents all items of income, expense and other comprehensive income or loss in a single statement of comprehensive income.

The REIT presents a third statement of financial position as of the beginning of the preceding period when it applies an accounting policy retrospectively or makes a retrospective restatement or reclassification of items that has a material effect on the information in the statement of financial position at the beginning of the preceding period. The notes related to the third statement of financial position are not required to be disclosed.

(c) Functional and Presentation Currency

These financial statements are presented in Philippine pesos, the REIT's presentation and functional currency, and all values represent absolute amounts except when otherwise indicated.

Items included in the financial statements of the REIT are measured using the REIT's functional currency. Functional currency is the currency of the primary economic environment in which the REIT operates.

2.2 Adoption of Amended PFRS effective in 2024

There are amendments to existing standards effective for annual periods subsequent to 2023, which are adopted by the FSRSC. Management will adopt the following relevant pronouncements in accordance with their transitional provisions; and none of these are expected to have significant impact on the REIT's financial statements:

(i) PAS 1 (Amendments), *Presentation of Financial Statements – Classification of Liabilities as Current or Non-current* (effective from January 1, 2024)

(ii) PAS 1 (Amendments), *Presentation of Financial Statements – Non-current Liabilities with Covenants* (effective from January 1, 2024)

(iii) PAS 7 (Amendments), *Cash Flow Statements* and PFRS 7 (Amendments), *Financial Instruments: Disclosures – Supplier Finance Arrangements* (effective from January 1, 2024)

(iv) PFRS 16 (Amendments), *Leases – Lease Liability in a Sale and Leaseback* (effective from January 1, 2024)

2.3 Financial Instruments

Financial assets and financial liabilities are recognized when the REIT becomes a party to the contractual provisions of the financial instrument.

(a) Financial Assets

Regular purchases and sales of financial assets are recognized on their trade date (i.e., the date that the REIT commits to purchase or sell the asset).

Classification and Measurement of Financial Assets

The REIT's financial assets include financial assets at amortized costs such as Cash and Trade and Other Receivables.

Impairment of Financial Assets

The REIT applies a general approach in relation to its trade and other receivables, which relate to receivables from related parties. The maximum period over which ECL should be measured is the longest contractual period where an entity is exposed to credit risk. In the case of these receivables, the contractual period is the very short period needed to transfer the cash once demanded or when the receivables fall due. Management determines possible impairment based on the sufficiency of the related parties' highly liquid assets in order to repay the REIT's receivables if demanded at the reporting date taking into consideration the historical defaults of the related parties. If the REIT cannot immediately collect the receivables, management considers the expected manner of recovery to measure ECL. If the recovery strategies indicate that the outstanding balance of the receivables can be collected, the ECL is limited to the effect of discounting the amount due over the period until cash is realized which may prove to be negligible.

(b) *Financial Liabilities*

Financial liabilities include Trade and Other Payables (except tax-related liabilities), Lease Liabilities and Due to Related Parties.

2.4 Property and Equipment

Property and equipment, are carried at revalued amount which is the fair value at the date of the revaluation, as determined by independent appraiser, less subsequent accumulated depreciation and any accumulated impairment losses.

Revalued amount is the fair market value determined based on appraisal by external professional appraiser once every two years or more frequently if market factors indicate a material change in fair value.

Depreciation of property and equipment (comprising of generation assets) is computed on the straight-line basis over the estimated useful lives of 18 years.

2.5 Investment Properties

Properties held for lease under operating lease agreements, which comprise mainly of land and buildings are classified as Investment Properties.

Investment properties are accounted for under the fair value model. They are revalued annually and are reported in the statement of financial position at its fair value. Fair value is based on the income approach and is determined annually by an independent appraiser with sufficient experience with respect to both the location and the nature of the investment properties.

2.6 Leases

(a) *REIT as Lessee*

Subsequent to initial measurement, the liability will be reduced for payments made and increased for interest. It is remeasured to reflect any reassessment or modification, or if there are changes in in-substance fixed payments.

The REIT has elected to account for short-term leases and leases of low-value assets using the practical expedients, when applicable. Instead of recognizing a right-of-use asset and lease liability, the payments in relation to these are recognized as an expense in profit or loss on a straight-line basis over the lease term.

(b) *REIT as Lessor*

The REIT applies judgment in determining whether a lease contract is a finance or operating lease.

3. SIGNIFICANT ACCOUNTING JUDGMENTS AND ESTIMATES

The preparation of the REIT's financial statements in accordance with PFRS requires management to make judgments and estimates that affect the amounts reported in the financial statements and related notes. Judgments and estimates are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. Actual results may ultimately differ from these estimates.

3.1 Critical Management Judgment in Applying Accounting Policies

In the process of applying the REIT's accounting policies, management has made the following judgments, apart from those involving estimation, which have the most significant effect on the amounts recognized in the financial statements.

(a) Determination of Lease Term of Contracts with Renewal and Termination Options

In determining the lease term, management considers all relevant factors and circumstances that create an economic incentive to exercise a renewal option or not exercise a termination option. Renewal options and/or periods after termination options are only included in the lease term if the lease is reasonably certain to be extended or not terminated and the renewal of the contract is not subject to mutual agreement of both parties.

The factors that are normally the most relevant are (a) if there are significant penalties should the REIT pre-terminate the contract, and (b) if any leasehold improvements are expected to have a significant remaining value, the REIT is reasonably certain to extend and not to terminate the lease contract. Otherwise, the REIT considers other factors including historical lease durations and the costs and business disruption required to replace the leased asset.

The REIT did not include the renewal period as part of the lease term for the lease due to the provision in its contract that requires mutual agreement of both parties on the terms and agreements of the renewal and termination of the lease contract.

The lease term is reassessed if an option is actually exercised or not exercised or the REIT becomes obliged to exercise or not exercise it. The assessment of reasonable certainty is only revised if a significant event or a significant change in circumstances occurs, which affects this assessment, and that is within the control of the REIT.

(b) Distinction Among Investment Properties and Owner-occupied Properties

The REIT determines whether a property should be classified as investment property or owner-occupied property. The REIT applies judgment upon initial recognition of the asset based on intention and when there is a change in use. In making its judgment, the REIT considers whether the property generates cash flows largely independently of the other assets held by an entity. Owner-occupied properties generate cash flows that are attributable not only to property but also to other assets used in the production or supply process.

When a property comprises of a portion that is held to earn rental or for capital appreciation and another portion that is held for use in the REIT's main line of business or for administrative purposes, the REIT accounts for the portions separately if these portions can be sold separately (or leased out separately under finance lease). If the portions cannot be sold separately, the property is accounted for as investment property only if an insignificant portion is held for use in the REIT's main line of business or for administrative purposes.

Judgment is applied in determining whether ancillary services are so significant that a property does not qualify as investment property. The REIT considers each property separately in making its judgment.

(c) Distinction Between Operating and Finance Leases as Lessor

The REIT has entered into various lease agreements as a lessor. Critical judgment was exercised by management to distinguish the lease agreements as either an operating or finance lease by looking at the transfer or retention of significant risk and rewards of ownership of the properties covered by the agreements. Failure to make the right judgment will result in either overstatement or understatement of assets and liabilities.

Management has determined that its current lease agreements as lessor are operating leases.

(d) Recognition of Provisions and Contingencies

Provisions are recognized when present obligations will probably lead to an outflow of economic resources and they can be estimated reliably even if the timing or amount of the outflow may still be uncertain. A present obligation arises from the presence of a legal or constructive obligation that has resulted from past events.

Judgment is exercised by management to distinguish between provisions and contingencies.

3.2 Key Sources of Estimation Uncertainty

The following are the key assumptions concerning the future, and other key sources of estimation uncertainty at the end of the reporting period, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next reporting period:

(a) Fair Value Measurement of Investment Properties, and Property and Equipment

The REIT's investment properties, composed of right-of-use asset, land and buildings, are measured using the fair value model while the REIT's property and equipment, composed of generation assets, are measured using revaluation model. In determining the fair value of these assets, the REIT engages the services of professional and independent appraisers applying the income approach.

In determining the fair value under the income approach, significant estimates are made such as revenues generated, costs and expenses related to the operations and discount rate.

A significant change in these elements may affect prices and the value of the assets. The details of the fair values of relevant assets are disclosed in Notes 6, 7 and 19.

For investment properties, and property and equipment, with valuation conducted prior to the end of the current reporting period, management determines whether there are significant circumstances during the intervening period that may require adjustments or changes in the disclosure of fair value of those properties.

(b) Estimation of Useful Lives of Property and Equipment

The REIT estimates the useful lives of the property and equipment based on the period over which the assets are expected to be available-for-use. The estimated useful lives of the property and equipment are reviewed periodically and are updated if expectations differ from previous estimates due to physical wear and tear, technical or commercial obsolescence, and legal or other limits on the use of the assets.

The carrying amounts of the property and equipment are analyzed in Note 6. Based on management's assessment as at December 31, 2024 and 2023, there is no change in estimated useful lives of the property and equipment during those periods. Actual results, however, may vary due to changes in estimates brought about by changes in factors mentioned above.

(c) *Estimation of Allowance for ECL*

The measurement of the allowance for ECL is an area that requires the use of significant assumptions about the future economic conditions and credit behavior (e.g., likelihood of customers/counterparties defaulting and the resulting losses). Explanation of the inputs, assumptions and estimation used in measuring ECL is further detailed in Note 17.2(b).

Based on management's assessment, the outstanding balances of receivables as of September 30, 2025 and December 31, 2024 are fully collectible (see Note 5).

(d) *Impairment of Non-financial Assets*

The REIT's Investment Properties, Property and Equipment and other non-financial assets are subject to impairment testing.

In assessing impairment, management estimates the recoverable amount of each asset or a cash-generating unit based on expected future cash flows and uses an interest rate to calculate the present value of those cash flows. Estimation uncertainties relate to assumptions about future operating results and the determination of suitable discount rate.

Though management believes that the assumptions used in the estimation of fair values reflected in the financial statements are appropriate and reasonable, significant changes in these assumptions may materially affect the assessment of recoverable values and any resulting impairment loss could have a material adverse effect on the results of operations.

There were no impairment losses on the REIT's non-financial assets required to be recognized for the period ended September 30, 2025 and for the year ended December 31, 2024, based on management's assessment.

4. CASH

Cash amounted to P2.6 million and P0.9 million as of September 30, 2025, and December 31, 2024, respectively.

Cash in banks generally earn interest based on daily bank deposit rates. Interest income earned from cash in bank amounted to P304 and P4,031 for the periods ended 30 September 2025 and 30 September 2024, respectively. Interest earned is presented as Finance income under Other Income (Charges) section in the statements of comprehensive income.

5. TRADE AND OTHER RECEIVABLES

This account is composed of the following:

	September 30, 2025	December 31, 2024
Trade receivables		
Billed	**P 462,329,192**	P 736,640,406
Accrued	**173,459,897**	152,860,548
	P 635,789,089	P 889,500,954

Billed receivables arise from the lease of land, building, and generation assets by SIPCOR and CAMPCOR.

Accrued receivables pertain to receivables resulting from the straight-line method of recognizing rental income.

All trade and other receivables are subject to credit risk exposure. However, no impairment losses were recognized for the reporting periods presented, as management believes that the remaining receivables are fully collectible (see Note 17.2).

6. PROPERTY AND EQUIPMENT

The property and equipment of the REIT pertain to generation assets (see Note 14).

The carrying amount of property and equipment is as follows:

	September 30, 2025	December 31, 2024
Cost	**P 961,520,000**	P 934,480,000
Depreciation	**(47,810,387)**	(58,102,383)
Revaluation	—	85,142,383
	P 913,709,613	P 961,520,000

The properties and equipment are recognized under the revaluation model. The revaluation surplus, net of applicable deferred income taxes, is presented as part of the Revaluation Reserves account in the equity section of the statements of financial position.

The movements of the revaluation surplus are presented below.

	September 30, 2025	December 31, 2024
Balance at the beginning of the period	**P 137,936,681**	P 79,018,554
Depreciation	**(3,175,199)**	(4,938,660)
Revaluation	**-**	63,856,787
Balance at the end of the period	**P 134,761,482**	P 137,936,681

The REIT recognized income arising from the lease of generation assets to SIPCOR amounting to P35.1 million and P39.5 million as of September 30, 2025 and 2024, respectively. These are presented as part of Rental Income in the statements of comprehensive income (see Note 10). The related outstanding receivable is presented as part of Trade and Other Receivables in the statements of financial position (see Note 5).

Depreciation expense is presented under Costs of Rentals in the statements of comprehensive income. For the periods ended September 30, 2025 and 2024, the REIT did not recognize any impairment loss on its property and equipment.

On September 30, 2025, the REIT transferred to Retained Earnings the depreciation related to the revaluation surplus from the prior year amounting to P3.2 million.

The REIT did not have any fully depreciated property and equipment as of September 30, 2025 and December 31, 2024. Information on fair value measurement and disclosures related to the property and equipment are presented in Note 19.3.

7. INVESTMENT PROPERTIES

The REIT's investment properties pertain to parcels of land located in Candanay, Siquijor, Lazi, Siquijor, Poro, Cebu, and Pilar, Cebu, including the buildings located in the said parcels of land (see Note 14), and the right-of-use asset on the lease right from the lease agreement with NPC (see Note 9).

These parcels of land and buildings are recognized in reference to their fair values, and the information on fair value measurement and disclosures is presented in Note 19.3.

A reconciliation of the carrying amounts of investment properties as of September 30, 2025 and December 31, 2024 is shown below.

	Land	**Buildings**	**Right-of-use asset**	**Total**
Balance as of				
December 31,2022	P 4,085,360,000	P 2,223,800,000	P 1,261,810,000	P 7,570,970,000
Fair value gain (loss)	168,880,000	92,060,000	(47,420,000)	213,520,000
Balance as of				
December 31,2023	P 4,254,240,000	P 2,315,860,000	P 1,214,390,000	P 7,784,490,000
Balance as of				
December 31,2023	P 4,254,240,000	P 2,315,860,000	P 1,214,390,000	P 7,784,490,000
Additions	25,482,095	17,936,391	-	43,418,486
Fair value gain(loss)	97,617,905	49,073,609	(60,180,000)	86,511,514
Balance as of				
December 31,2024	P 4,377,340,000	P 2,382,870,000	P 1,154,210,000	P 7,914,420,000
Balance as of				
December 31,2024	P 4,377,340,000	P 2,382,870,000	P 1,154,210,000	P 7,914,420,000
Additions	-	-	-	-
Fair value gain (loss)	(-)	(-)	(-)	(-)
Balance as of				
September 30, 2025	**P 4,377,340,000**	**P 2,382,870,000**	**P 1,154,210,000**	**P 7,914,420,000**

The fair values of the investment properties were determined by independent and SEC-accredited property appraisers. The REIT's management engaged with an appraiser in 2024 and the amounts stated above are the fair values as of December 31, 2024, and a new appraisal will be done at year-end. The fair value gains and losses on investment properties are presented under Other income (Charges) in the statements of comprehensive income.

The REIT recognized income amounting to P396.7 million on September 30, 2025, and P417.1 million on September 30, 2024, from the lease of investment properties and are presented as part of Rental Income in the statements of comprehensive income (see Note 10). Related outstanding receivables are presented as part of Trade and Other Receivables in the statements of financial position (see Note 5).

Expenses, such as taxes and licenses and property management fees incurred in relation to the rental services, are recognized as incurred and are presented as part of Costs of Rentals in the statements of comprehensive income (see Note 11).

The REIT does not have contractual commitments for the purchase of investment properties. The operating lease commitments of the REIT as lessor are fully disclosed in Note 16.1.

8. TRADE AND OTHER PAYABLES

This account is composed of the following:

	September 30, 2025	December 31, 2024
Deferred Output VAT	**P 70,076,478**	P 78,925,758
Accrued Expenses	**64,237,792**	51,120,455
VAT payable	**18,534,186**	7,711,583
Others	**1,002,700**	908,098
	P 153,851,156	P 138,665,894

Deferred output VAT is recognized by the REIT for uncollected billings for rentals prior to the implementation of the Ease of Paying Taxes (EOPT) Act. This will be reclassified to output VAT payable and offset against input VAT once collected.

Accrued expenses relate to administrative expenses, such as professional fees and administrative expenses, accrued or billed during the period that is yet to be paid.

9. LEASES

In 2022, SIPCOR assigned the lease of the land situated in Candanay, Siquijor, owned by the NPC (Candanay Property), to the REIT. The lease has a term of 20 years with renewal option, subject to mutual agreement of both parties, and an escalation rate of 20% every five years. The assignment was approved by the NPC. The lease allows the REIT to sublet the asset to another party. The lease is either non-cancellable or may only be cancelled by incurring a substantive termination fee. The lease did not contain an option to purchase the underlying leased asset at the end of the lease.

On April 11, 2022, the REIT entered into a sublease agreement with SIPCOR for the same land situated in Candanay (Candanay Property) for a term of 8 years. Since the land is being subleased by the REIT to SIPCOR, the right-of-use asset is presented as part of Investment Properties in the statement of financial position (see Note 7).

Lease liability is presented in the statements of financial position as follows:

	September 30,2025	December 31, 2024
Current	**P 493,793**	P 408,491
Non-current	**5,001,877**	5,411,452
	P 5,495,670	P 5,819,943

The movements in the lease liability recognized in the statements of financial position are as follows:

	September 30, 2025	December 31, 2024
Balance at beginning of the period	**P 5,819,943**	P 6,201,851
Repayments	**(610,200)**	(793,459)
Interest	**285,927**	411,551
Balance at end of the period	**P 5,495,670**	P 5,819,943

Interest expense related to lease liability is reported as Finance Cost in the statement of comprehensive income.

As of September 30, 2025 and December 31, 2024, the REIT had no lease commitments that had not yet commenced.

The maturity analysis of lease liabilities is as follows:

	September 30, 2025	December 31, 2024
Within 1 year	P 813,600	P 813,600
1 to 2 years	813,600	813,600
2 to 3 years	813,600	813,600
3 to 4 years	976,320	813,600
4 to 5 years	976,320	813,600
More than 5 years	2,928,960	3,905,280
	P 7,322,400	P 8,136,000

The cash outflow in respect of the lease for the period ended September 30, 2025 and December 31, 2024 amounted to P0.6 million and P0.8 million, respectively.

10. RENTAL INCOME

The REIT derives its rental income from the lease of its investment properties and property and equipment (see Note 6 and 7).

Rentals from these properties are based on an agreed guaranteed annual base or the calculated variable rental based on the lessees' revenues, whichever is higher. In 2024, the agreed guaranteed annual base is higher than the variable base for all properties, except for the Candanay property and Lazi property (see Note 16).

The table below describes the lease agreements entered by the REIT and their respective terms.

	Lease Term	Renewable years Upon mutual agreement	Variable rental rates based on lessees' revenues
Candanay property	8 years	10 years	26.59%
Lazi property	9 years	10 years	8.41%

SIPCOR building	9 years	10 years	0.50%
SIPCOR generation assets	9 years	10 years	4.50%
CAMPCOR land	10 years	10 years	15.00%
CAMPCOR building	10 years	10 years	10.00%

The rental income derived from such leases amounted to P431.9 million and P456.6 million for the periods ended September 30, 2025 and 2024, respectively.

Breakdown of rental income for the quarters ended September 30, 2025 and September 30, 2024, as reported in the statements of comprehensive income is shown below.

	2025	2024
Rental income from SIPCOR:		
Right-of-use asset	**P 120,457,254**	P 135,514,411
Land	**38,719,043**	43,558,924
Generation assets (presented as property and equipment)	**35,146,648**	39,539,978
Building	**3,944,049**	4,437,055
	P 198,266,994	P 223,050,369
Rental income from CAMPCOR:		
Land	**P 138,575,229**	P 138,575,229
Building	**95,010,483**	95,010,483
	P 233,585,712	P 233,585,712
Balance at end of the period	**P 431,852,706**	P 456,636,080

The Lease Agreements with SIPCOR has been suspended following the revocation by the Energy Regulatory Commission (ERC) of SIPCOR's Provisional Authorities to Operate (PAO) its generating units. During the period of suspension, SIPCOR shall not be required to pay rent but shall continue to maintain the leased property. The suspension shall remain in effect until 31 December 2025, after which PREIT and SIPCOR shall evaluate whether to proceed with the lease.

11. COSTS AND OPERATING EXPENSES

The details of this account for the periods ended September 30, 2025 and September 30, 2024 are shown below.

	Notes	**2025**	2024
Depreciation	6	**P 47,810,387**	P 43,576,788
Property and fund management fees		**14,866,719**	13,666,621
Taxes and Licenses		**5,392,196**	5,392,196
Professional fees		**2,431,158**	2,025,157
General and administrative		**729,777**	468,986
Miscellaneous		**1,704,169**	226,992
		P 72,934,405	P 65,356,740

These expenses are classified in the statement of comprehensive income as follows:

	2025	2024
Costs of rentals	**P 68,069,301**	P 62,635,604
Operating expenses	**4,865,104**	2,721,136

	P 72,934,405	P 65,356,740

12. INCOME TAXES

The components of tax expense as reported in the statements of comprehensive income are as follows:

		2025	2024
Reported in profit or loss			
Regular corporate income tax at 25%		**P—**	P—
Final tax at 20%		**61**	806
Deferred tax income arising from origination of temporary differences –		**5,149,837**	8,534,715
	P	**5,149,898**	P 8,535,521

		2025	2024
Reported in other comprehensive income – Deferred tax income arising from recognition of revaluation surplus–		**1,058,400**	1,042,709
	P	**1,058,400**	P 1,042,709

A reconciliation of tax on pretax profit or loss computed at the applicable statutory rates to tax expense or income reported in the statement of comprehensive income for the periods ended September 30, 2025 and 2024 are follows:

	Note		**September 30, 2025**		**September 30, 2024**
Tax on pretax profit at 25%	6	**P**	**89,658,169**	**P**	**97,743,676**
Adjustment for income subjected to lower income tax rate			**(61)**		**(806)**
Tax effect of:					
Dividends from distributable income			**(76,277,207)**		**(80,407,857)**
Excess of optional standard deduction (OSD) over itemized deduction			**(8,231,003)**		**(17,334,107)**
Reversal of deferred tax income					**8,534,715**
Deferred tax income		**P**	**5,149,898**	**P**	**8,535,521**

As per Rule 10 of the REIT Act, REITs may deduct against taxable income any dividends distributed as of the end of the taxable year and on or before the last day of the fifth month of the next taxable year.

The details of deferred tax liabilities - net as of September 30, 2025 and December 31, 2024 are shown below.

	Notes		**2025**	2024
Straight-lining of rental income		**P**	**5,149,837**	P 38,215,137
Revaluation surplus of property and equipment			**112,895,218**	47,873,814
Fair value loss on investment properties	6			27,017,878
Interest expense on lease liability			**-**	(211,612)
		P	**118,045,055**	P 112,895,217

The REIT claimed OSD in computing for its income tax due for the quarter ended 30 September 2025 and the year ended 2024.

13. RELATED PARTY TRANSACTIONS

The REIT's related parties include the ultimate parent company, parent company, stockholders, key management personnel and others as defined in Note 2.14. A summary of the REIT's transactions and outstanding balances, if any, with its related parties is presented below.

	Notes	September 30, 2025		December 31, 2024	
		Amount of Transaction	Outstanding Receivable (Payable)	Amount of Transaction	Outstanding Receivable (Payable)
Parent Company			.		
Rental income	5, 10, 13.1	**P (200,442,002)**	**P373,081,712**	P 384,161,695	P573,523,714
Due to (from) related party	13.2	**161,982,103**	**(17,695,041)**	60,613,265	(179,677,144)
Lease liabilities	9	**324,273**	**(5,495,670)**	381,908	(5,819,943)
Related party under common ownership					
Rental income	5, 10, 13.1	**(53,269,863)**	**262,707,377**	311,447,616	315,977,240
Due to (from) related parties	13.2	**142,666,921**	**(37,383,333)**	(247,849,512)	(142,978,254)
Key Management Personnel					
Compensation	13.3	**150,000**	**412,200**	322,500	262,200

13.1 Lease Agreements

In 2022, the REIT entered into several operating lease agreements with SIPCOR and CAMPCOR (see Note 10).

The rentals earned from the lease agreements are presented as Rental Income in the statements of comprehensive income. The unsecured, noninterest-bearing outstanding balances related to such agreements are presented as part of Trade and Other Receivables in the statements of financial position.

13.2 Due to Related Parties

In the normal course of business, the REIT obtains and grants cash advances to its related parties, including the parent company and entities under common ownership, to accommodate certain expenses, working capital requirements, and other purposes.

The outstanding due to related parties presented in the statements of financial position amounted to P55.1 million as of September 30, 2025 and P322.7 million as of December 31, 2024. Such balances have no fixed repayment terms and are unsecured, noninterest-bearing, and generally payable in cash upon demand, or through offsetting arrangements with the related parties.

13.3 Key Management Function

Key management personnel compensation incurred as the REIT's management and administrative functions amounted to P0.2 million and P0.3 million for the periods September 30, 2025 and December 31, 2024, respectively.

14. EQUITY

14.1 Capital Stock

Capital stock as of September 30, 2025 and December 31, 2024 consists of the following:

	Shares	Amount
Common Shares:		
Authorized	7,500,000,000	P7,500,000,000
Issued and outstanding	3,288,669,000	P3,288,669,000

The REIT is authorized to issue 7,500,000,000 common shares with a par value of P1.00 per share. As of September 30, 2025 and December 31, 2024, a total number of 3,288,669,000 shares which amounted to P3.3 billion were fully issued and outstanding.

As of September 30, 2025 and December 31, 2024, there were 4,608 holders and 3,627 holders, respectively, of at least one board lot of the listed shares, which closed at P1.00 per share as of September 30, 2025 and P2.21 per share as of December 31, 2024.

14.2 Dividends

During the period ended September 30, 2025 and the year ended December 31, 2024, the BOD approved the following dividend declaration from its unrestricted retained earnings payable to stockholders:

Date of Declaration	Payment Date	Cash Dividend per Share	Total
2024			
February 5, 2024	March 12, 2024	P 0.0388	P 127,600,357
April 14, 2024	May 13, 2024	0.0388	127,600,357
May 27, 2024	June 28, 2024	0.0326	107,210,609
August 29, 2024	September 27, 2024	0.0326	107,210,609
November 28, 2024	December 27, 2024	0.0325	106,881,744
			P 576,503,676
2025			
April 15, 2025	May 21, 2025	P 0.0548	P 180,219,061
May 25, 2025	June 27, 2025	0.0332	109,183,811
August 27, 2025	September 26, 2025	0.0331	108,854,943
			P 398,257,815

14.3 Distributable Income

The computation of the distributable income of the REIT is shown below.

	January 1 to September 30, 2025	January 1 to September 30, 2024
Net profit	**P 353,482,779**	**P 382,439,185**
Effect of straight-lining of rental income	**(20,599,350)**	**(34,138,857)**
Deferred tax expense	**5,149,837**	**8,534,715**

Accretion of interest relating to lease liability	**285,927**	**308,664**
Distributable income	**P 338,319,193**	**P 357,143,706**

The REIT has adopted a dividend policy in accordance with the provisions of the REIT Act, pursuant to which the REIT's shareholders are entitled to receive at least 90% of the REIT's annual distributable income. The REIT intends to declare and pay out dividends of at least 90% of distributable income on a quarterly basis each year.

For purposes of tax reporting, the REIT claimed dividends declared as deduction against its taxable income as allowed per Rule 10 of the REIT Act (see Note 12).

15. EARNINGS PER SHARE

Basic and diluted earnings per share for the periods ended September 30, 2025 and 2024 were computed as follows:

	January 1 to September 30, 2025	**January 1 to September 30, 2024**
Net profit for the period	**P 353,482,779**	P 382,439,185
Divided by weighted number of outstanding common shares	**3,288,669,000**	3,288,669,000
Basic and diluted earnings per share	**P0.11**	P 0.12

The REIT has no potential dilutive common shares for periods ended September 30, 2025 and 2024. Therefore, basic and diluted EPS are the same.

16. COMMITMENTS AND CONTINGENCIES

16.1 Operating Lease Commitments – REIT as a Lessor

The lease agreements of the REIT with SIPCOR and CAMPCOR require monthly rentals equivalent to the higher of a guaranteed base lease or a percentage ranging from 0.50% to 26.59% of the lessee's annual revenue (see Notes 6, 7 and 10). In 2024, rentals based on the guaranteed base lease were higher than the rentals calculated based on the variables rates, except for the rental income from Candanay Property and Lazi Property (see Note 10). The rental income from these properties was determined based on 26.59% and 8.41% of the revenue derived from the lease, respectively.

The future minimum lease receivable under the REIT's lease agreements (see Notes 7 and 9) as of September 30, 2025 and December 31, 2024 are shown below.

	September 30, 2025	December 31, 2024
Within 1 year	P 608,848,418	P 608,848,418
1 to 2 years	608,848,418	608,848,418
2 to 3 years	608,848,418	608,848,418
3 to 4 years	608,848,418	608,848,418
4 to 5 years	608,848,418	608,848,418
More than 5 years	384,448,885	993,297,303
	P 3,428,690,975	P 4,037,539,393

The REIT is subject to risks incidental to the operation of its investment properties and property and equipment, which include changes in market rental rates and the inability to collect rent from tenants due to bankruptcy or insolvency. All the REIT's lease agreements are with related parties. Nevertheless, management considers the risk of non-collection to be insignificant, as the REIT and its tenants are related parties under common control and can therefore direct payments and collections between these entities (see Note 13).

16.2 Others

There are other commitments and contingent liabilities that may arise in the normal course of the REIT's operations, which are not reflected in the financial statements. As of September 30, 2025 and December 31, 2024, management is of the opinion that losses, if any, from these commitments and contingencies would not have a material effect on the REIT's financial statements.

17. RISK MANAGEMENT OBJECTIVES AND POLICIES

The REIT is exposed to a variety of financial risks in relation to its financial instruments. The REIT's financial assets and financial liabilities by category are disclosed in Note 18. The main types of risks are market risk, credit risk and liquidity risk.

The REIT's risk management is coordinated with its parent company, in close coordination with the BOD, and focuses on actively securing the REIT's short- to medium-term cash flows by minimizing exposure to financial risks. The REIT does not engage in trading of financial assets for speculative purposes. The relevant financial risks to which the REIT is exposed are discussed below and on the succeeding page.

17.1 Market Risk

As of September 30, 2025 and December 31, 2024, the REIT is exposed to market risk through its cash in bank, which is subject to changes in market interest rates. However, management believes that the related interest rate risk exposure is not significant.

17.2 Credit Risk

The REIT's credit risk is attributable to cash in bank and trade receivables. The REIT maintains defined credit policies and continuously monitors defaults of counterparties, identified either individually or by group, and incorporate this information into its credit risk controls. Where available at a reasonable cost, external credit ratings and/or reports on counterparties are obtained and used. The REIT's policy is to deal only with creditworthy counterparties.

The maximum credit risk exposure of financial assets is the carrying amount of the financial assets as shown in the statements of financial position (or in the detailed analysis provided in the notes to financial statements), as summarized below.

	Notes	**September 30, 2025**	December 31, 2024
Cash	4	**P 2,569,867**	P 891,662
Trade and other receivables	5	**635,789,089**	889,500,954
		P 638,358,956	P 890,392,616

(a) Cash

The maximum credit risk exposure of a financial asset is its carrying amount, as shown in the statement of financial position, which relates to cash in bank. The credit risk associated with cash in bank is considered negligible, since the counterparty is a reputable bank with high-quality external credit rating. Cash in bank are insured by the Philippine Deposit Insurance Corporation (PDIC) up to a maximum of P1.0 million for every depositor per banking institution.

(b) *Trade and other receivables*

Management determines possible impairment based on the related parties' ability to repay the receivables upon demand at the reporting date taking into consideration historical defaults of the related parties. Management assessed that the outstanding balances from related parties as of September 30, 2025 and December 31, 2024 are recoverable, since the related parties have the capacity to pay the balances upon demand and there were no historical defaults. Hence, the losses are deemed negligible.

17.3 Liquidity Risk

As of September 30, 2025 and December 31, 2024, the REIT's maximum liquidity risk is the carrying amounts of trade and other payables, due to related parties, and lease liabilities (see Note 9).

As of September 30, 2025 and December 31, 2024, the REIT's financial liabilities have contractual maturities which are presented below.

	September 30, 2025	December 31, 2024
Trade and other payables	**P 153,851,156**	P 138,665,894
Due to related parties	**55,078,374**	322,655,398
	P 208,929,530	P 461,321,292

The contractual maturity reflects the gross cash flows and the carrying value of the liability at the end of the reporting period.

18. CATEGORIES, FAIR VALUES AND OFFSETTING OF FINANCIAL ASSETS AND FINANCIAL LIABILITIES

18.1 Carrying Amounts and Fair Value by Category

The carrying values and fair values of the categories of financial assets and financial liabilities presented in the statements of financial position are shown below.

	Notes	**September 30, 2025**		December 31, 2024	
		Carrying Amount	**Fair Value**	Carrying Amount	Fair Value
Financial assets					
Cash	4	**P 2,569,867**	**P 2,569,867**	P 891,662	P 891,662
Trade and other receivables	5	**635,789,089**	**635,789,089**	889,500,954	889,500,954
		P 638,358,956	**P 638,358,956**	P 890,392,616	P 890,392,616
Trade and other payables	8	**P 153,851,156**	**P 153,851,156**	P 138,665,894	P 138,665,894
Due to related parties	15	**55,078,374**	**55,078,374**	322,655,398	322,655,398
Balance at beginning and end of the period		**P 208,929,530**	**P 208,929,530**	P 461,321,292	P 461,321,292

A description of the REIT's risk management objectives and policies for financial instruments is provided in Note 17.

Offsetting of Financial Assets and Financial Liabilities

The REIT has not set off financial instruments and do not have relevant offsetting arrangements. Currently, all other financial assets and financial liabilities are settled on a gross basis; however, each party to the financial instrument (particularly related parties) will have the option to settle all such amounts on a net basis in the event of default of the other party through approval by both parties' BOD and shareholders.

19. FAIR VALUE MEASUREMENT AND DISCLOSURE

19.1 Fair Value Hierarchy

In accordance with PFRS 13, *Fair Value Measurement*, the fair value of financial assets and financial liabilities and non-financial assets which are measured at fair value on a recurring or non-recurring basis and those assets and liabilities not measured at fair value but for which fair value is disclosed in accordance with other relevant PFRS, are categorized into three levels based on the significance of inputs used to measure the fair value.

The fair value hierarchy has the following levels:

- Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities that an entity can access at the measurement date;

- Level 2: inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e., as prices) or indirectly(i.e., derived from prices); and,

- Level 3: inputs for the asset or liability that are not based on observable market data (unobservable inputs).

The level within which the asset or liability is classified is determined based on the lowest level of significant input to the fair value measurement.

For purposes of determining the market value at Level 1, a market is regarded as active if quoted prices are readily and regularly available from an exchange, dealer, broker, industry group, pricing service, or regulatory agency, and those prices represent actual and regularly occurring market transactions on an arm's length basis.

19.2 Financial Instruments Measured at Amortized Cost for which Fair Value is Disclosed

The Company's financial instruments are measured at amortized cost and hence are included in Level 3, except for cash, which is considered in Level 1.

For financial assets and financial liabilities with fair values included in Level 1, management considers that the carrying amounts of those short-term financial instruments approximate their fair values.

The fair values of the financial assets and financial liabilities included in Level 3, which are not traded in an active market, are determined based on the expected cash flows of the underlying net asset or liability based on the instruments where the significant inputs required to determine the fair value of such instruments are not based on observable market data.

19.3 Fair Value Measurement of Non-financial Assets

The REIT's investment properties and property and equipment amounting to P7.9 billion and P0.9 billion as of September 30, 2025, respectively, and P7.9 billion and P1.0 billion as of December 31, 2024, respectively, are classified under Level 3 of the hierarchy of fair value measurements.

The fair values of the REIT's investment properties (see Note 7) and property and equipment (see Note 6) are determined on the basis of the appraisals performed by Asian Appraisal Company, Inc., an independent appraiser, with appropriate qualifications and recent experience in the valuation of similar properties.

In estimating the fair value of these properties, management takes into account the market participant's ability to generate economic benefits by using the assets in their highest and best use. Based on management assessment, the best use of the REIT's investment properties and property and equipment are their current use. The appraisers used a discount rate of 8.39% in 2024, and growth rate of 3.50% in 2024 to value the REIT's investment properties.

Fair value as determined by independent appraisers are based on the income approach. Under income approach, the fair value of an asset is measured by calculating the present value of its economic benefits by discounting expected cash flows at a rate of return that compensates the risks associated with the particular investment.

The most common approach in valuing future economic benefits of a projected income stream is the discounted cash flows model. This valuation process of this model consists of the following: (a) estimation of the revenues generated; (b) estimation of the costs expenses related to the operations of the development; (c) estimation of an appropriate discount rate; and (d) discounting process using an appropriate discount rate to arrive at an indicative fair value. There has been no change in the valuation techniques used by the REIT during the period. Also, there were no transfers into or out of Level 3 fair value hierarchy.

20. CAPITAL MANAGEMENT OBJECTIVES, POLICIES AND PROCEDURES

The REIT's capital management objectives are to ensure the REIT's ability to continue as a going concern.

The REIT sets the amount of capital in proportion to its overall financing structure, i.e., equity and liabilities. The REIT manages the capital structure and makes adjustment to it in light of changes in economic conditions and the risk characteristics of the underlying assets. The REIT's total liabilities and total equity as of September 30, 2025 and December 31, 2024 are presented below.

	Notes	**September 30, 2025**	December 31, 2024
Total liabilities	6	**P 332,470,255**	P 580,036,452
Total equity		**9,196,533,637**	9,241,308,673
		P 0.04:1.00	P 0.06:1.00

The REIT sets the amount of capital in proportion to its overall financing structure, i.e., equity and financial liabilities. The REIT manages the capital structure and adjusts it in response to the changes in economic conditions and the risk characteristics of the underlying assets.

Under the REIT Act, the REIT is subject to external capital requirement to have a minimum paid-up capital of P300.0 million which was complied with as of the reporting period presented.

21. SEGMENT REPORTING

The REIT has determined that it operates as one operating segment. The REIT's only income-generating activity is the lease of its land, right-of-use asset, buildings and generation asset which serves as the basis used by the BOD in allocating resources (see Notes 7 and 10).

The REIT derives its rental income exclusively from SIPCOR and CAMPCOR, related parties under common control, during the reporting periods September 30, 2025 and December 31, 2024 (see Notes 7, 10 and 13).

The disaggregation of rental income as to lessee is also detailed in Note 10.

22. SUPPLEMENTAL INFORMATION ON NON-CASH FINANCING AND INVESTING ACTIVITIES

There were no non-cash investing and financing activities as of September 30, 2025 and December 31, 2024.

PREMIERE ISLAND POWER REIT CORPORATION
List of Supplementary Information
September 30, 2025

PREMIERE ISLAND POWER REIT CORPORATION
Schedule B
Amounts Receivable from Directors, Officers, Employees, Related Parties and Principal Stockholders (Other than Related Parties)
September 30, 2025
(Amounts in Philippine Pesos)

Name And Designation of Debtor	Balance At Beginning of Quarter	Additions	Deductions		Ending Balance		Balance At End of Quarter
			Amounts Collected	Amounts Written Off	Current	Not Current	
S.I. P0wer Corporation	P 573,523,714	P 219,315,525	P (419,757,527)	P—	P 373,081,712	P—	P 373,081,712
Camotes Island Power Generation Corporation	315,977,240	257,775,051	(311,044,914)	—	262,707,377	—	262,707,377
	P 889,500,954	**P 477,090,576**	**P (730,802,441)**	**P—**	**P 635,789,089**	**P—**	**P 635,789,089**

Note: These are presented as part of receivables account in the statements of financial position.

PREMIERE ISLAND POWER REIT CORPORATION
Indebtedness to Related Parties
Schedule E
September 30, 2025
(Amounts in Philippine Pesos)

Name of Related Party	Balance at January 1, 2025	Balance at September 30, 2025
Parent Company - S.I. P0wer Corporation	P 179,677,144	P 17,695,041
Related party under common ownership - Camotes Island Power Generation Corporation	142,978,254	—
Other related parties		37,383,333
Total indebtedness to related parties	**P 322,655,398**	**P 55,078,374**

PREMIERE ISLAND POWER REIT CORPORATION
Capital Stock
Schedule G
September 30, 2025
(Amounts in Philippine Pesos)

				Number of Shares Held By		
Title of Issue	Number of Shares Authorized	Number of Shares Issued and Outstanding as Shown Under the Related Statement of Financial Postion Caption	Number of Shares Reserved for Options, Warrants, Coversion and Other Rights	Related Parties	Directors, Officers and Employee	Others
Common	7,500,000,000	3,288,669,000	—	1,680,433,993	869,007	1,607,366,000

PREMIERE ISLAND POWER REIT CORPORATION
(A Subsidiary of S.I. P0wer Corp.)
4th Starmall IT Hub CV Starr Ave.
September 30, 2025
Reconciliation of Retained Earnings Available for Dividend Declaration

Unappropriated Retained Earnings Available for Dividend Distribution at January 1, 2025	P 204,039,276
Less: Items that are directly debited to Unappropriated Retained Earnings	
Dividend declaration during the period	(398,257,815)
Transfer depreciation to retained earnings	(3,175,200)
Unappropriated Retained Earnings, as adjusted	**(197,393,739)**
Add: Net income for the current period	353,482,780
Less: Unrealized income recognized in the profit or loss during the reporting period (net of tax)	
Unrealized income from straight-lining of rentals	(20,599,350)
Add: Non-actual losses recognized in profit or loss during the reporting period (net of tax)	
Depreciation on revaluation increment	3,175,199
Accretion of interest on lease liability	285,927
Unappropriated Retained Earnings Available for Dividend Distribution at September 30, 2025	**P 138,950,818**

PREMIERE ISLAND POWER REIT CORPORATION
(A Subsidiary of S.I. P0wer Corp.)
4th Starmall IT Hub CV Starr Ave.
September 30, 2025
Map Showing the Relationship Between the Company and its Related Entities